

The financial writer Ron Chernow claims that “financial systems reflect the values of societies.”¹⁸ I believe that is largely true. From time to time, we seem to misplace our values, and then our markets succumb to speculative forces. Soon, we right ourselves and continue on with our financial walk, only to trip and fall back into destructive habits. One way to stop this vicious cycle is to educate ourselves about what works and what does not work.

Buffett has had his share of failures and no doubt will have a few more in the years ahead. But investment success is not synonymous with infallibility. Rather, it comes from doing more things right than wrong. The Warren Buffett Way is no different. Its success as an investment approach is as much a result of eliminating those things that you can easily get wrong, which are many and perplexing (predicting markets, economies, and stock prices), as requiring you to get certain things right, which are few and simple (mainly, valuing a business). When Buffett purchases stocks, he is focusing on two simple variables: the price of the business and its value. The price of the business can be found by looking up its quote. Determining the value requires some calculation, but it is not beyond the ability of those willing to do some homework.

Because you no longer worry about the stock market, the economy, or predicting stock prices, you are now free to spend more time understanding your businesses. More productive time can be spent reading annual reports and business and industry articles that will improve your knowledge as an owner. In fact, the degree to which you are willing to investigate your own business lessens your dependency on others who make a living advising people to take irrational actions.

Ultimately, the best investment ideas will come from you doing your own work. However, you should not feel intimidated. The Warren Buffett Way is not beyond the comprehension of most serious investors. You do not have to become an MBA-level authority on business valuation to use it successfully. Still, if you are uncomfortable applying these tenets yourself, nothing prevents you from asking your financial adviser these same questions. In fact, the more you enter into a dialogue on price and value, the more you will begin to understand and appreciate the Warren Buffett Way.